James-Stein Estimator

Charles M. Stein
(1920-2016)
Statistics, Stanford

Stein's Example (paradox, phenomenon)
- https://en.wikipedia.org/wiki/Stein%27s_example

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when three or more parameters are estimated simultaneously,
there exist combined estimators more accurate on average
than any method that handles the parameters separately.
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It is named after Charles Stein of Stanford University, who discovered the phenomenon in 1955 and further developed with Stein's graduate student Willard James).
"ESTIMATION WITH QUADRATIC LOSS", 1961:
- https://digitalassets.lib.berkeley.edu/math/ucb/text/math_s4_v1_article-19.pdf
- http://www.statslab.cam.ac.uk/~rjs57/SteinParadox.pdf - nice clear explanation

A quirky example would be estimating the three unrelated things together:

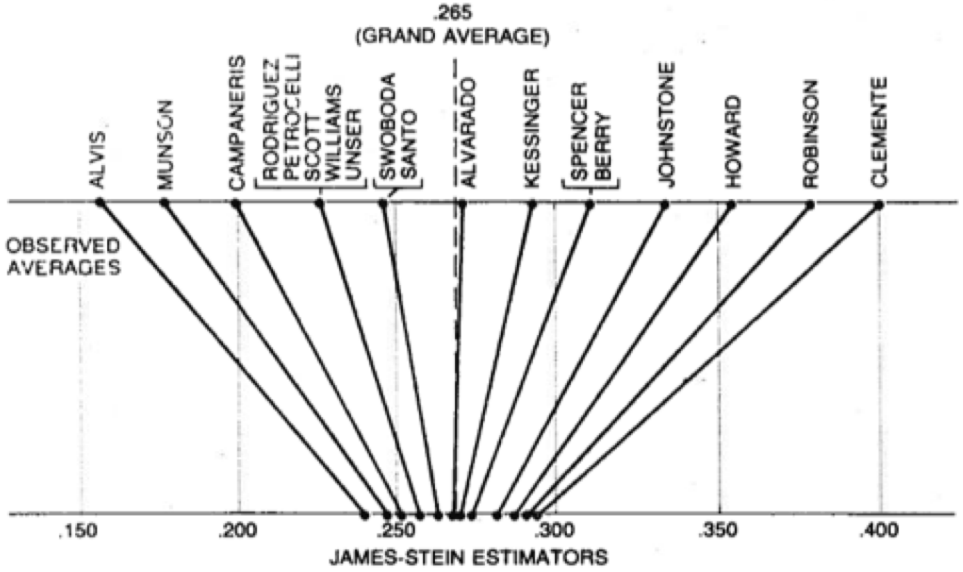
- speed of light
- tea consumption in Taiwan
- hog weight in Montana

The total MSE (the sum of individual Mean Square Errors) in measuring light speed, tea consumption, and hog weight would improve by using the James–Stein estimator.
However, any particular component (such as the speed of light) would improve for some parameter values, and deteriorate for others.
Thus, although the James–Stein estimator dominates the LS estimator when three or more parameters are estimated, any single component does not dominate the respective component of the LS estimator.

James-Stein Estimator - continued

Why is the James-Stein estimator called a “shrinkage” estimator?
- https://en.wikipedia.org/wiki/James%E2%80%93Stein_estimator
- https://stats.stackexchange.com/questions/304308/why-is-the-james-stein-estimator-called-a-shrinkage-estimator

Why isn't the James Stein estimator the standard method for linear regression if it is strictly better than OLS when there are more than 2 covariates?
- https://www.quora.com/Why-isnt-the-James-Stein-estimator-the-standard-method-for-linear-regression-if-it-is-strictly-better-than-OLS-when-there-are-more-than-2-covariates



JAMES-STEIN ESTIMATORS for the 18 baseball players were calculated by “shrinking” the individual batting averages toward the overall “average of the averages.” In this case the grand average is .265 and each of the averages is shrunk about 80 percent of the distance to this value. Thus the theorem on which Stein’s method is based asserts that the true batting abilities are more tightly clustered than the preliminary batting averages would seem to suggest they are.

Stein's Paradox in Statistics – by Bradley Efron and Carl Morris (Scientific American, 1977)
- http://statweb.stanford.edu/~ckirby/brad/other/Article1977.pdf

In the Scientific American article, Efron explained the paradox with a baseball example: while most people would think the best prediction for the end-of-season batting averages of 10 players would be obtained by looking at each player's early average, the James-Stein theorem showed that including other players' averages leads to a better result. This is a paradox because players' individual performances shouldn't influence each other.